

callers. What is the “Martin Method”? Here is what he told us during the interview:

I am a businessman who goes out and tests people. Brokers call me a lot. They say, “I have a great deal of experience in Wall Street’s best offerings.... I have a fantastic track record of making money for my clients.”

I always say: “Do you have some good investment ideas for me—really good?” He says, “Absolutely, especially if you’re willing to make trades in your portfolio. I only handle accounts with a minimum of \$200,000.”

Then I tell him, “So you’re really good. Well, I’ll tell you what. Send me a copy of your personal income tax returns from the last few years and a list of what you have had in your own portfolio for the past three years. If you made more money than I did from investments, I’ll invest with you. Here’s my address.”

When they say, “We can’t show that to you,” I tell them, “You are likely to be full of baloney.” This is my strategy for checking people out. It works. I check them all out this way. I mean it very honestly.

Perhaps you’re asking yourself how Mr. Martin finds time to evaluate all those stacks of credentials he receives from cold callers. During the many years Mr. Martin has been an active investor, he has received countless telephone solicitations. How many of these solicitors “applied for the job” as financial advisor to the Martin household by submitting their credentials? Zero! Not one of the dozens of cold callers submitted his income and wealth appreciation data to Mr. Martin.

According to Mr. Martin, “If these guys were really good, they would not spend all their time calling me.” Well, fair enough, Mr. Martin. But not everyone in America has your investment intellect, income, and net worth. Many people would be better off financially if they used the services of a financial advisor, even one who cold called them, for the simple reason that most financial advisors are significantly more knowledgeable about investing than the average high-income UAW.

How one comes into contact with one’s financial advisor is a correlate of wealth appreciation. How did Mr. Martin come into contact with his?